

GST on late payment fees [¶32-028]

[¶32-028]

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Late payment fees are fixed fees charged by businesses to their customers on late payment of accounts. For example, a telephone company may charge its customers a set fee for the cost of administration if they do not pay their monthly telephone bill on time. The fees are different from penalty and default interest payments, which are specifically GST-exempt in the same way as other financial transactions.

Section [5\(25\)](#) and [\(26\)](#) clarify that late payment fees charged by businesses to customers are subject to GST. Because late payment fees are technically considered to be an increase in consideration for the underlying good or service (thereby triggering the credit/debit note provisions), the late payment fee is treated as a separate supply. Therefore, debit notes are not required to be issued.

The tax treatment of the late payment fee will take on the same nature as the underlying good or service. So if the underlying good or service is an exempt supply, the late payment fee will also be an exempt supply for GST purposes.

To provide guidance on the boundary between the late payment fee and penalty or default interest under s [14\(3\)\(a\)](#), s [5\(25\)](#) clarifies that the subsection does not apply to penalty or default interest, or a charge in the nature of a penalty or default interest, that is imposed under a contract for the supply of goods and services or an enactment. See also *Tax Information Bulletin* [¶2410-111 Vol 24, No 10](#), December 2012 at 40.

Law: GST ss [5\(25\)](#), [\(26\)](#), [14\(3\)\(a\)](#)

Last reviewed on 31 December 2025